BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 30, 2025

Prepared Testimony of:

UIU Rate Panel

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I. INTRODUCTION

Q. Would the Panel please state their names and business addresses?

A. **(Ewen and Malukoff)** Mark Ewen and Maksim Malukoff, our business address is 2067 Massachusetts Avenue, Cambridge, MA 02140.

(Panko) My name is Danielle Panko, and my business address is 99 Washington Avenue, Suite 500, Albany, NY 12231.

Q. By whom are you employed, in what capacity, and what are your professional backgrounds and qualifications?

A. **(Ewen)** I am a Principal and President of Industrial Economics, Incorporated (IEc), a consultancy of 160 professionals headquartered in Cambridge, MA. My consulting practice focuses on regulatory and energy economics, expert case management and economic damages estimation in a variety of litigation contexts, and financial analysis. I obtained a Bachelor of Arts degree in Economics and Political Science from the

University of North Dakota, and a Master of Public Policy degree from the University of Michigan. I have participated and provided testimony in a variety of proceedings in several states, including electric and gas base rates cases, 1307(f) purchased gas cost filings, energy efficiency and conservation cases, merger and acquisition cases, and default service provider (DSP) petitions.

(Malukoff) I am a Senior Economics Associate in Mr. Ewen's consulting practice at IEc. I obtained a Bachelor of Arts degree in Mathematics from the State University of New York at Geneseo and a Master of Science in Economics from Tufts University. I have participated in electric and gas base rates cases, 1307(f) purchased gas cost filings, and DSP petitions before the Pennsylvania Public Utility Commission.

(Panko) I currently hold the position of Utility Analyst with the Utility Intervention Unit (UIU) of the New York State Department of State's Division of Consumer Protection. I received a

Bachelor of Science in Mathematics from the State University of New York at New Paltz in 2001 and a Master of Science in Electrical Engineering from the State University of New York at New Paltz in 2008.

Since I joined UIU in 2012, I have worked on several New York utility rate cases as well as other rate and policy-related proceedings. My primary responsibilities have included assisting with UIU's participation in proceedings before the Public Service Commission (PSC or Commission), researching utility policy and regulatory related issues, and representing UIU during various utility-related meetings and rate case negotiations.

Prior to joining UIU, I worked as an Analyst, and later as a Senior Analyst, for Consolidated Edison Company of New York, Inc. (Con Edison) in the Rate Engineering Department Gas Rate Design Section from 2007 to 2012. I worked for Philips Semiconductors as a reliability engineer from 2004-2007 and for Central Hudson Gas and Electric Corporation as an intern in the

Accounts Service Department and subsequently in the Electrical Engineering Department from 2000 to 2001.

Q. Have you previously testified before the Commission?

A. **(Ewen)** I have not. However, I have previously submitted testimony in similar cases before the Pennsylvania Public Utility Commission, including Cases R-2024-3048732 (PPL Electric Utilities Corporation), R-2024-3047068 (First Energy of PA), R-2024-3046932 (PECO Gas), R-2024-3046519 (Columbia Gas of Pennsylvania), P-2024-3047290 (PPL Electric Utilities Corporation), P-2024-3046008 (PECO Energy Company), R-2024-3045177 (National Fuel Gas Distribution Corporation), P-2023-3039927 (Pike County Light and Power), R-2022-3031211 (Columbia Gas of Pennsylvania), R-00049783 (Columbia Gas of Pennsylvania), R-00049255 (Pennsylvania Power and Light), R-00027389 (PFG Gas and Northern Penn Gas), and R-00016789 (National Fuel Gas Distribution Corporation).

(Malukoff) No; however, I have provided expert support to Mr. Ewen in the cases cited above.

(Panko) Yes. I have testified and participated in settlement negotiations in numerous rate case and regulatory proceedings before the Commission during my time representing the UIU.

Q. What is the scope of the Panel's testimony?

A. Our direct testimony primarily addresses the revenue allocation and rate design proposals submitted by Consolidated Edison Company of New York, Inc. (Con Edison or the Company) for gas and electric service. However, we reserve the right to respond to the testimony of other parties concerning other issues. We would also note that the absence of testimony concerning other issues should not be construed as support for, or opposition to, the Company's positions concerning those issues.

Q. How is your testimony organized?

A. Our testimony has five sections. First, in this section we introduce our testimony and describe

our background and experience. Second, we summarize our recommendations. Third, we provide context for the Company's rate filing and summarize the Company's electric and gas service classifications (SCs). Fourth, we discuss revenue allocation. Finally, we discuss rate design.

Q. Are you sponsoring any exhibits associated with your testimony?

A. Yes. The following is a list of the exhibits we relied upon in preparing this testimony:

- Exhibit__(URP-1), which consists of the Company's responses to Information Requests (IRs) that we relied upon in preparing this testimony.
- Exhibit__(URP-2), which provides a summary of Con Edison's proposed multi-year revenue increases based on slide 19 of the presentation at the March 4, 2025, Technical Conference.
- Exhibit__(URP-3), which outlines the Company's electric service classifications

including the number of customers, annual kilowatt-hour (kWh) sales, and annual revenues from sales, derived from the Company's Demand Analysis and Cost of Service Panel (DAC) Exhibits__1-4).

- Exhibit__(URP-4), which outlines the Company's gas service classifications, including the number of customers, annual therms sales, and annual revenues from sales, derived from the Company Gas Rate Panel (GRP) Exhibits__1-4).
- Exhibit__(URP-5), which summarizes the Company's revenue allocation proposal for electric service, based on the Company's Exhibit__(DAC-2) and workpapers produced in response to DPS-1-80.
- Exhibit__(URP-6), which summarizes the UIU Rate Panel's alternative revenue allocation proposal for electric service.
- Exhibit__(URP-7), which summarizes the Company's revenue allocation proposal for gas service, based on the Company's Exhibit__(GRP-1) and workpapers produced in

response to DPS-1-80.

- Exhibit__(URP-8), which summarizes bill impacts for electric SC 1 Rate I, including the delivery-only impacts, derived from the Company's workpapers for Exhibit__(ERP-2).
- Exhibit__(URP-9), which presents additional bill impacts for electric SC 1 Rate I, derived from the Company's response to DPS-37-841, -Attachment 1.
- Exhibit__(URP-10), which summarizes bill impacts on gas SC 1 Rate I, SC 3 Rate I, and SC 3 Rate II, derived from the Company's response to DPS-37-842, Attachment 1.
- Exhibit__(URP-11), which compares bill impacts for the Company's gas SCs at different levels of gas usage.
- Exhibit__(URP-12), which outlines the Company's rate design proposal for SC 3 Firm Gas (Heating), Rate II, based on the Company's workpapers for Exhibit__(GRP-3).

II. SUMMARY OF RECOMMENDATIONS

Q. Would you please briefly summarize your recommendations?

A. Below, we summarize our recommendations for revenue allocation and rate design.

A. Revenue Allocation

For electric service, we recommend modifying the Company's proposed revenue allocation to increase the revenue share assigned to the New York Power Authority (NYPA) towards the overall system rate of return to correct for the revenue deficiency of this class at a faster pace. We support the Embedded Cost of Service (ECOS) recommendation set forth in the Direct Testimony of Dustin M. J. Madsen to move NYPA customers into their respective Con Edison service classifications, which requires an additional study (as highlighted in UIU-5-38). Once complete, we recommend the Company present the electric revenue allocation based on the recommended revised ECOS as noted in the Direct Testimony of Dustin M. J. Madsen.

If the revenue requirement is reduced below the Company's requested level, we propose that SC rate increases should be reduced proportionally based on the Panel's alternative revenue allocation in Exhibit__(URP-6).

Finally, we recommend that Con Edison include a forward-looking component in its next Seasonal Rate Study that analyzes projected changes in heating electrification and winter peak usage.

For gas service, we are supportive of the revenue reduction adjustments outlined in the Direct Testimony of Dustin M. J. Madsen. We also recognize that Mr. Madsen's recommendations and the Company's revenue requirement may be refined. We continue to monitor this issue and may provide a recommendation as this case moves forward.

B. Rate Design

For electric service, for SC 1 and SC 2, we recommend a reduction to the customer charges which the Company proposed and that any revenue

requirement scale-backs should be more than proportionally deducted from customer charges. In our view, a lower customer charge resulting from a decreased revenue requirement would further incentivize energy conservation.

For gas service, we understand that rate design recommendations are dependent on the revenue requirement and revenue allocation process. For SC 1 (residential non-heating), we are aware that this class is sensitive to any customer charge changes, as it may result in unstable bill impacts. We are closely monitoring this issue and may provide a recommendation for SC 1 as this case moves forward.

For SC 3, we are not convinced that the Company's proposed minimum customer charges are reasonable. The current charge for SC 3 customers is $32. Following changes in its ECOS, the Company proposed to increase customer charges to $40 for SC 3 Rate I and to $60 for SC 3 Rate II. In our view, because the Company's

proposed minimum customer charge increases are not consistent with rate gradualism, the Company should consider reduced customer charges for SC 3 Rate I and Rate II. The magnitude will depend on the revenue requirement and revenue allocation. We understand that reductions in the revenue requirement have been proposed in the Direct Testimony of Dustin M. J. Madsen. We are closely monitoring this issue and may provide a suggestion later in this proceeding.

III. 2025 RATE CASE PROPOSAL AND RATE CLASSES

Q. Would you provide some background information regarding these current cases?

A. Yes. In Con Edison's initial January 31, 2025 filing, the Company requested to increase their revenues by $1.6 billion (electric) and $440 million (gas) during the Rate Year (RY) commencing January 1, 2026 (RY 1). (See Direct Testimony of the Accounting Panel, at 6-7). In these rate filings, the Company focuses on investments needed to improve grid reliability and resiliency, reduce emissions, expand its

service territory, and meet customer demand for clean energy (See Direct Testimony of the Accounting Panel, at 8).

The Company also provided summary information for two additional rate years, commencing January 1, 2027 (RY 2) and January 1, 2028 (RY 3), which will be useful if a multi-year settlement is explored. Exhibit__(URP-2) summarizes the Company's proposed rate increases for RYs 1-3. For electric service, the Company is proposing a three-year levelized rate increase of 9.0 percent. This consists of a RY 1 increase of 11.4 percent, a RY 2 increase of 5.9 percent, and a RY 3 increase of 9.0 percent. For gas service, the Company is proposing a three-year levelized rate increase of 10.2 percent, consisting of a RY 1 increase of 13.3 percent, a RY 2 increase of 7.1 percent, a RY 3 increase of 4.1 percent.

The Company provides additional detail on proposed rates and bill impacts for RY 1 in its Direct Testimony of the Electric Rate Panel and Direct Testimony of the Gas Rate Panel, which we

discuss later in our testimony.

Q. Has the Company made any changes to its initial filing?

A. Yes. On April 10, 2025, the Company submitted corrections and updates to its January 31, 2025 rate filings which (1) decreased the Company's RY 1 electric revenue requirement by $3.2 million (resulting in a request for $1.6 billion of additional revenues) and (2) decreased the Company's RY 1 gas revenue requirement by $91.5 million (resulting in a request for $349.0 million of additional revenues). (See Accounting Panel Update/Correction Testimony, at 2) The Company summarizes the major drivers of the changes in revenue requirements in its Update Testimony of the Accounting Panel. (See Accounting Panel Update/Correction Testimony, at 2-7) As part of its updates and corrections, the Company did not file testimony or exhibits showing the resulting impact on rates or typical bills. Accordingly, our discussion of the Company's proposed revenue allocation and rate

design refers to the initial filings.

CON EDISON SERVICE CLASSIFICATIONS

Q. How many customers will be affected by the proposed rate increases?

A. The Company's proposals will impact approximately 3.7 million electric customer accounts and 1.1 million gas customers accounts in New York City and Westchester (See Exhibit__(URP-3) and Exhibit__(URP-4)). We provide summary information for the Company's largest electric and gas service classifications, as reflected in the Company's ECOS models, below. Our high-level descriptions of the SCs do not reflect the specific requirements for a customer to take service under each SC set forth in the Company's tariffs.

A. Electric – Rate Classes

The Panel's testimony will focus on the following SCs, outlined in Exhibit__(URP-3).

SC 1: Residential and Religious

Within SC 1, the Company offers a default

electric rate (Rate I), optional time of use or demand rate structures under subclasses Rate II (Voluntary Time-of-Day – closed to new customers), Rate III (Voluntary Time-of-Day, or TOD), Rate IV (Optional Demand-Based). In addition, some customers use SC 1 Rider Z (Innovative Pricing Pilot) and Rider AB (Smart Home Rate) on an experimental basis.

SC 2: General Small Commercial

Within SC 2, the Company offers a default electric rate (Rate I), voluntary TOD rate (Rate II), and standby service (Rate III).

New York Power Authority, or NYPA

The NYPA SC is diverse and includes the following customer categories: General Small, Traction, Multiple Dwellings Redistribution, Multi Dwellings Redistribution-TOD, General Large, General Large-TOD, Multiple Dwelling Space Heating, Transit Authority Substation, and New York City Public Buildings, and New York City Public Buildings-TOD.

B. Gas – Rate Classes

The Panel's testimony will focus on the

following service classifications, outlined in Exhibit__(URP-4).

SC 1: Residential and Religious (non-heating)

The Company separates Residential and Religious customers into two umbrella service classifications, non-heating and heating. SC 1 comprises non-heating customers.

SC 2: Rate I

The Company's gas service classifications include two commercial classes. SC 2 Rate I comprises commercial customers with consistent gas usage throughout the year. This classification is primarily intended for non-heating customers.

SC 2: Rate II

SC 2 Rate II customers have a higher average daily use for the months of January through March than the average daily use for the months of July through September. This classification is primarily intended for heating customers.

SC 3 Rate I: Residential and Religious (heating), 1-4 dwelling units

The Company proposed a tariff change to the rate structure of SC 3 pursuant to the Joint Proposal adopted by the Commission in Cases 22-E-0064 and 22-G-0065. In this proceeding the Company proposed separate gas SC 3 customer charges and delivery rates for customers with 1-4 dwelling units and customers with more than 4 dwelling units. SC 3 Rate I customers have 1-4 dwelling units.

SC 3 Rate II: Residential and Religious (heating), > 4 dwelling units

SC 3 Rate II customers have more than 4 dwelling units.

IV. REVENUE ALLOCATION

A. Background

Q. Please explain the revenue allocation process in a typical utility rate case.

A. Revenue allocation is the assignment of the dollar net increase or decrease to each of the Company's rate classes in a base rates proceeding. In contrast, rate design determines how the allocated revenue is recovered from individual ratepayers within each class. From a

cost recovery standpoint, revenue allocation addresses inter-class cross-subsidization issues, while rate design addresses intra-class cross-subsidization issues.

Most utilities and regulators adopt a policy that aims to move class revenues into line with allocated costs by varying the magnitude of rate increases for individual rate classes. The results of one or more ECOS studies are used to help guide decisions regarding how proposed rate changes should be spread across the various rate classes. A common metric to link cost allocation to revenue allocation is the indexed (or unitized) rate of return (ROR). The indexed ROR metric is measured as the class ROR divided by the system average ROR, at current and proposed rates. If revenues are fully in line with allocated costs, the class indexed ROR is unity (1.0). Thus, if a class has an indexed ROR at present rates that are higher than system average, it is deemed to be over-recovering costs, and conversely, where the indexed ROR is

below unity, the class is under-recovering allocated costs. If a class is over-recovering costs at present rates, the utility should assign a relatively smaller share of the proposed revenue requirement to that class, and vice versa. In carrying out the revenue allocation process, tolerance bands are often used around the system average ROR to decide whether the service classification ROR deviates far enough from the average ROR to merit special treatment. The purpose of a tolerance band is to account for the imprecise nature of an ECOS study. The width of the tolerance band can vary, but the effect is generally to ameliorate disputes concerning the ECOS methodology, because rate classes that fall within the tolerance band generally receive the same percentage change, and because rate change differences tend to be moderated for any class with a ROR that falls just outside the tolerance band.

B. Electric – Revenue Allocation

Q. How does Con Edison propose to distribute

electric revenue increases among customer service classifications?

A. To understand the Company's method, we reviewed the Company's Direct Testimony of the Electric Rate Panel, Exhibits__(ERP 1-3), and the Company's workpapers (included in UIU-2-23 and DPS-1-80) used to develop its revenue allocation and rate design proposals. The Company used its historical ECOS study results from 2023 to allocate rate increases beginning in 2026. The Company's revenue allocation proposal for electric includes a plus or minus 10 percent tolerance band around the system average ROR for each study. Service classifications with a calculated ROR that fall outside this plus or minus 10 percent tolerance band are considered surplus or deficient. A revenue deficiency is the amount of revenue increase, at current rates, required to bring the rate class's ROR to the lower limit of the tolerance band around the system ROR.

Q. What were the results of the Company's electric

ECOS study?

A. The Company provides its ECOS results in Exhibit__(DAC-2), Table 1A. The total system ROR was determined to be 10.71 percent. Con Edison's service classifications' total rate of return is 10.96 percent, and NYPA's rate of return is 8.82 percent. SC 1 Residential and Religious has a ROR of 10.10 percent and falls within the plus or minus 10 percent tolerance band. The RORs of SC 5 Traction, SC 5 TOD, SC 6 Street Lighting, and NYPA are deficient by $35.8 million. The RORs of the remaining SCs are in surplus by $26.3 million. Con Edison made adjustments to certain SCs based on non-competitive delivery revenues, also shown in Exhibit__(DAC-2), Table 1A. After determining initial SC revenue increases based on surpluses/deficiencies, the Company also made adjustments for billing and print postage, and Merchant Function Charges, including Supply-Related and C&C-Related adjustments. Once allocating revenue surpluses and deficiencies, the company allocated Energy Efficiency (EE) costs to the various rate

classes.

Q. How did the Company propose to eliminate revenue surpluses and deficiencies?

A. The Company's revenue allocation proposal does not seek to eliminate surpluses and deficiencies across SCs, i.e., bring revenues into line with allocated costs, in RY 1. Instead, in order to mitigate bill impacts for deficient SCs that are under-recovering costs, the Company proposed to realign revenues in RY 1 based on one-third of each SC's surplus/deficiency identified in the ECOS study. The Company aims to further realign revenues in the subsequent two years to balance surpluses and deficiencies across SCs.

Q. Does the Panel agree with the Company's phased approach to eliminating the revenue surpluses and deficiencies?

A. No. We disagree with the Company's decision to address only one-third of the NYPA SC's $34.8 million revenue deficiency in this proceeding. As mentioned on page 83 of the Direct Testimony

of Dustin M. J. Madsen pertaining to NYPA, "…the continued aggregation of multiple different service classes and customer types into a single class violates the principle of cost causation." He further states at 84, "I expect that if the NYPA service class customers were moved into their respective Con Edison service classes, that there would be an immediate correction to this imbalance" and explains that a more detailed ECOS would be required. Furthermore, on pages 85-86, he recommends "…that the Commission direct the Company to conduct a revised ECOSS that breaks down the NYPA class as currently included in the ECOS into the existing Con Edison service classes, including SC2, SC5, SC6, SC8, SC9 and SC12." However, he notes that a special study is needed before his recommendation can be implemented and considers the work required (as highlighted in UIU-5-38) to be limited. (See Direct Testimony of Dustin M. J. Madsen, at 87-88). Given that this study has not been performed at this time, we recommend modifying the Company's proposed

revenue allocation to increase the revenue share assigned to the NYPA class in this proceeding to move the entire class closer towards costs in RY 1 (within the 10 percent tolerance band), as discussed in more detail below. In the next proceeding (or earlier), we recommend that the Company prepare its electric revenue allocation based on the recommended revised ECOS (moving NYPA customers into their respective Con Edison service classifications) as noted on pages 85-86 of the Direct Testimony of Dustin M. J. Madsen.

Q. Please summarize the Company's proposed rate increases for each service classification.

A. We summarize the Company's revenue allocation proposal in Exhibit__(URP-5). Rate increases (after Energy Efficiency Allocation to CECONY w. RNY is applied) range from 19.0 percent (SC 9) to 25.9 percent (SC 6). SC 1 was not revenue deficient or in surplus and therefore received (approximately) the system average rate increase.

Q. Has the Panel prepared an alternative revenue allocation proposal?

A. Yes, the Panel prepared an alternative revenue allocation proposal, included as Exhibit__(URP-6). We increased the total RY 1 T&D revenue increase for the NYPA class to $193.6 million, a difference of $13.8 million relative to the Company's proposal. To minimize changes within the tolerance band, we reallocated the $13.8 million to SC 9 Rate I&III. At current rates, SC 9 Rate I&III is over-recovering costs at an indexed ROR of 1.12, the highest of any SC besides SC 13 (which consists of one customer and accounts for less than one percent of total system revenue). This illustrative example brings NYPA's indexed ROR following the RY 1 increase to 0.91, placing the SC within the lower bound of the 10 percent tolerance band, and brings the indexed ROR for SC 9 Rate I&III to 1.06. Our proposal represents an intermediate step to account for concerns about the NYPA rate class highlighted in the Direct Testimony of Dustin M. J. Madsen and does not negatively

impact Con Edison's other service classifications.

Q. Does the Panel have additional recommendations concerning revenue allocation for electric service?

A. We support the revenue reduction adjustments outlined in the Direct Testimony of Dustin M. J. Madsen. If the revenue requirement is reduced below the Company's requested level, as we believe it should be, we propose that SC rate increases should be reduced proportionally based on the Panel's alternative revenue allocation in Exhibit__(URP-6).

C. Gas – Revenue Allocation

Q. How does Con Edison propose to distribute gas revenue increases among customer service classifications?

A. To understand the Company's method, we reviewed the Company's Direct Testimony of the Gas Rate Panel, Exhibits__(GRP 1-4), and the Company's workpapers (included in UIU-2-23 and DPS-1-80) used to develop its revenue allocation and rate

design proposals. The Company used its historical ECOS study results from 2023 to allocate rate increases beginning in 2026. The Company's revenue allocation proposal for gas includes a plus or minus 10 percent tolerance band around the system average ROR for each study. Service classifications with a calculated ROR that fall outside this plus or minus 10 percent tolerance band are considered surplus or deficient.

Q. Did the Company make any methodological changes since the prior gas proceeding that impact revenue allocation?

A. Yes. The Company's gas ECOS presented in this case reflects separate RORs for SC 3 Rate I and Rate II.

Q. What were the results of the Company's gas ECOS study?

A. The Company provides its ECOS results in Exhibit__(GRP-1), Table 1A. The total system ROR was determined to be 8.49 percent. No SCs are

within the plus or minus 10 percent tolerance band. SC 1 Residential and Religious (non-heating) has a ROR of 11.62 percent and a revenue surplus of $32.5 million. SC 2 Rate I has a ROR of 11.69 percent and a revenue surplus of $25.4 million. SC 2 Rate II has a ROR of 7.07 percent and a revenue deficiency of $13.6 million. Con Edison identified large discrepancies in the rates of return between the newly separated SC 3 Rate I and Rate II service classifications. SC 3 Rate I has a ROR of 2.74 and a revenue deficiency of $265.8 million, while SC 3 Rate II has a ROR of 16.56 percent and a revenue surplus of $238.7 million. Con Edison made adjustments to certain SCs based on non-competitive delivery revenues, also shown in Exhibit__(GRP-1), Table 1A.

Q. How did the Company propose to eliminate revenue surpluses and deficiencies?

A. The Company's revenue allocation proposal does not seek to eliminate surpluses and deficiencies across SCs, i.e., bring revenues into line with

allocated costs, in RY 1. Instead, in order to mitigate bill impacts for deficient classes that are under-recovering costs, the Company proposed to realign revenues in RY 1 based on one-sixth of each SC's surplus/deficiency identified in the ECOS study. The Company aims to further realign revenues in the subsequent five years to balance surpluses and deficiencies across SCs. The Company's proposed six-year phase-in period differs from both its electric revenue allocation proposal in this proceeding and its gas revenue allocation proposal in the previous proceeding (Case 22-G-0065).

Q. What are the challenges with revenue allocation that are related to the Company's ECOS modification?

A. In effect, by establishing separate SC 3 rates in its ECOS, Con Edison turned a rate design issue concerning intra-class subsidization into a revenue allocation issue concerning inter-class subsidization. As Exhibit__(URP-7) shows, SC 3 Rate I class has an indexed ROR of 0.32

(resulting in under-earning), while the SC 3 Rate II class has an indexed ROR of 1.95 (resulting in over-earning). Spreading the application of revenue surpluses and deficiencies over three years, as the Company proposed for electric in this proceeding and for electric and gas in the previous proceeding, may result in rate shock for SC 3 Rate I customers. Further, given this is the first base rates proceeding in which Con Edison has classified and allocated costs for SC 3 customers with 1-4 dwelling units or more than 4 dwelling units separately, gradualism is warranted. We continue to monitor this issue and may provide a recommendation as this case moves forward. In addition, the Panel expects the Company may refine its ECOS study in future proceedings, particularly to better estimate the customer-related components of system costs. (See Direct Testimony of Dustin M. J. Madsen, at 92-93).

Q. Please summarize the Company's proposed rate increases for each service classification.

A. We summarize the Company's revenue allocation proposal in Exhibit__(URP-7). Rate increases range from 13.8 percent (SC 3 Rate II) to 28.5 percent (SC 3 Rate I).

Q. Has the Panel prepared an alternative revenue allocation proposal?

A. Not at this time. We expect the revenue requirement to be a contentious issue in this case and we are closely monitoring the rate impacts resulting from any modifications. We support the revenue reduction adjustments outlined in the Direct Testimony of Dustin M. J. Madsen, which, if adopted, will impact revenue allocation and rates. We also recognize that Mr. Madsen's recommendation and the final revenue requirement may change. The Panel also continues to study the Company's proposal to address revenue surpluses and deficiencies across SCs. We may provide an alternative revenue allocation proposal later in this proceeding.

V. RATE DESIGN

A. Electric – Rate Design

Q. What did the Company propose for the electric SC 1 Residential and Religious Rate I standard rate?

A. The Company proposed to maintain the basic rate structure, consisting of a fixed monthly customer charge and variable per kWh charge. The Company proposed to increase the customer charge by 15 percent from $20 to $23. The Company proposed to maintain the seasonal rate differential block rate structure, where winter block rates are flat, summer rates are inclining, and both seasonal blocks are split at up to 250 kWh and over 250 kWh.

Q. What are the bill impacts on SC 1 resulting from the Company's proposal?

A. The Company's filing includes bill impacts in Exhibit__(ERP-2), Schedule 5 and Schedule 9. Exhibit__(URP-8) and Exhibit__(URP-9) summarize additional bill impacts for SC 1 Rate I, including the delivery-only impacts. Under the Company's proposal, a customer using 425 kWh of electricity per month will experience a total

bill increase of 13.4 percent in the winter period and 13.6 percent in the summer period. Further, 73 percent of the Company's SC 1 electric bills were for 425 kWh of usage or less per month (see Exhibit__(URP-9)). A customer who uses below 425 kWh per month will experience similar, but slightly larger, bill impacts in percentage terms (e.g., at 250 kWh the proposed bill increase is 13.8 percent in both seasonal periods). At and above the 90th percentile of electricity usage (750 kWh), the proposed bill increases range from 12.9 to 13.5 percent.

Q. What is your recommendation?

A. We recommend a lower customer charge, compared to the Company's proposal. The Panel expects that the outcome of this proceeding will yield a lower revenue requirement than what the Company proposed, which will require a scale back of proposed tariff charges. Therefore, we recommend a directional modification for implementing the revenue allocation and any scale-back for purposes of rate design (all of which will

result in a reduction to the Company's proposed customer charge). To grant residential customers more control over their bills, and to incentivize energy conservation and efficiency, we propose that any revenue requirement scale-back should be more than proportionally deducted from the customer charge. In increasing the customer charge by a smaller percentage than the volumetric charge, the Company's proposal incentivizes energy conservation more effectively than a uniform increase to both charges. In our view, a lower customer charge resulting from a decreased revenue requirement would further incentivize energy conservation.

Q. Did the Panel review the Company's Seasonal Rate Study?

A. Yes. The Company included the study in Exhibit__(DAC-3) and in its Excel workpapers. The Company also discussed the Seasonal Rate Study in the Direct Testimony of the DAC Panel. The class-specific seasonal delivery revenue ratios shown in Exhibit__(DAC-3) reflect the

ratio of monthly summer delivery revenue to monthly winter delivery revenue based on 2023 customer usage priced at delivery rates that went into effect January 1, 2025. Based on the results of the study, the Company only proposed changes to seasonal differentials for SC 8 TOD and SC 9 TOD.

Q. Does the Panel have recommendations for a future Seasonal Rate Study?

A. Yes. We recommend that Con Edison include a forward-looking component in its next Seasonal Rate Study that analyzes projected changes in heating electrification and winter peak usage.

Q. Do you have additional comments about rate design for SC 1?

A. We have reviewed the Company's proposals for the other sub-classes in SC 1. We may provide recommendations depending on further review of revenue requirement and revenue allocation issues.

Q. Did the Panel study other electric service classification tariffs in detail?

A. We reviewed the Company's proposal for the SC 2 class standard metered service rates. The rate design proposals and bill impacts are similar to those for SC 1.

Q. What do you recommend?

A. We recommend the same directional modification in the customer charge for SC 2 should the electric revenue requirement be reduced.

B. Gas – Rate Design

Q. What did the Company propose for the gas SC 1 Residential and Religious (non-heating) standard rate?

A. The Company proposed to maintain the basic rate structure, consisting of a monthly minimum customer charge and variable per therm charge. The Company proposed to increase the minimum customer charge (applicable to the first three therms) and the volumetric charge by a uniform 16.5 percent. The minimum customer charge would increase from $33.23 to $38.73, and the

volumetric charge would increase from $1.9216 to $2.2389 per therm. The Company proposed an increase in the customer charge because "the vast majority of SC delivery revenue is associated with the minimum charge. Therefore, applying the revenue increase solely to the volumetric charge would disproportionally affect customers using more than 5 therms per month." (See Direct Testimony of the Gas Rate Panel, at 26). The Company's justification for increasing the minimum customer charge for SC 1 differs from its justification for other SCs, i.e., "to make movement toward the ECOS study customer cost indications" (See Direct Testimony of the Gas Rate Panel, at 26); the proposed SC 1 customer charge would exceed the calculated monthly customer cost for the class in the ECOS study ($33.66).

Q. What are the bill impacts on SC 1 resulting from the Company's proposal?

A. The Company's filing includes bill impacts in Exhibit__(GRP-3). A customer using three therms

per month would experience a total bill increase of 16.2 percent. 79 percent of the Company's SC 1 gas bills were for usage of three therms or less per month (See Exhibit__(URP-10)). At five therms per month, representing the 86th percentile of SC 1 bills, the total bill would increase by 15.7 percent at proposed rates. At and above the 95th percentile of gas usage (15 therms), the proposed bill increases range from 12.7 to 14.5 percent. Exhibit__(URP-11) shows additional bill impacts for SC 1 relative to the other gas SCs.

Q. Does the Panel have any recommendations for SC 1 rate design?

A. Given the uncertainties concerning revenue requirement and revenue allocation outcomes, we do not offer a specific tariff design alternative at this time. However, we are aware that this class is sensitive to any minimum customer charge changes, as it may result in unstable bill impacts. We are closely monitoring this issue and may provide a suggestion later in

this proceeding.

Q. Please describe the background for the Company's proposed changes to the gas Residential & Religious (heating) service classification (SC 3).

A. Pursuant to the Joint Proposal adopted by the Commission in Case 22-G-0065, in this proceeding the Company proposed separate gas delivery rates for SC 3 customers with 1-4 dwelling units (Rate I) and SC 3 customers with more than 4 dwelling units (Rate II). We understand that the two customer groups comprise different types of structures/dwelling units and exhibit different usage patterns. Typical Rate I customers most likely include single-family homes, individually or master-metered customers residing in 2-4 family structures, and individually metered households occupying apartments in multiple dwelling building units. A typical Rate II customer most likely includes a landlord of an apartment building in New York City that incorporates heating bills into the rents that

they charge tenants. SC 3 customers with 1-4 units consumed approximately 83 therms per month in 2023, while SC 3 customers with more than 4 units consumed approximately 2,090 therms per month, according to Con Edison Exhibit__(GRP-4), Schedule 5. As discussed above, the Company's ECOS results suggest differences in costs of service and rates of return between SC 3 Rate I and Rate II customers. Designing rates that incentivize conservation and energy efficiency, while balancing the interests of customers at all levels of consumption, was challenging for such a heterogenous service classification. As discussed above, by establishing separate SC 3 rates in its ECOS, Con Edison turned a rate design issue into revenue allocation issue.

Q. What did the Company propose for SC 3 Rate I and SC 3 Rate II?

A. The Company proposed to increase the minimum customer charge (applicable to the first three therms) from $32 to $40 for the Rate I class (25 percent), and from $32 to $60 (87.5 percent) for

the Rate II class. Con Edison designed these rates to make progress toward aligning revenues with customer costs identified in its ECOS study. However, given that the current customer charge is $32 for both SC 3 Rate I and II customers, the Company's proposed minimum customer charge increases are not consistent with rate gradualism.

For volumetric rates, the Company proposed to eliminate the declining block rate structure for SC 3 Rate I customers. Instead, Rate I customers would pay a single volumetric charge of $1.9558 for all usage over three therms. The Company proposed to maintain and continue to flatten the three-tiered declining block rate structure for the Rate II class, furthering the process which began in Case 22-G-0065. The rate structure consists of a customer charge and three tiers of volumetric charges: 0-3 therms, Block 1 (customer charge); 4-90 therms, Block 2; 910-3,000 therms, Block 3; and greater than 3,000 therms, Block 4. The Company is proposing an

increase of 87.5 percent to the customer charge, an 8.7 percent increase to the Block 2 charge, a 14.0 percent increase to the Block 3 charge, and a 19.7 percent increase to the Block 4 charge. Exhibit__(URP-12) summarizes the Company's rate design proposal for SC 3 Rate II customers.

Q. What is your response to the Company's rate design proposal for SC 3 Rate I and SC 3 Rate II heating customers?

A. We are not convinced that the Company's proposed customer charges are reasonable. The current charge for SC 3 customers is $32. Following changes in its ECOS, the Company proposed to increase customer charges to $40 for SC 3 Rate I and to $60 for SC 3 Rate II. In our view, the Company should consider reduced customer charges for SC 3 Rate I and Rate II. The magnitude will depend on the revenue requirement and revenue allocation. We understand that reductions in the revenue requirement have been proposed in the Direct Testimony of Dustin M. J. Madsen. We are closely monitoring this issue and may provide a

suggestion later in this proceeding.

Q. Does this conclude your direct testimony?

A. Yes.